MISTRAS GROUP INC MG

July 20, 2026 - 3:25am EST
by Sonk

			2026	2027
Price:	15.71	EPS	0	0
Shares Out. (in M):	32	P/E	0	0
Market Cap (in $M):	500	P/FCF	0	0
Net Debt (in $M):	182	EBIT	83	107
TEV (in $M):	652	TEV/EBIT	8.3	6.4

Description

Background

Mistras Group (MG) is one of the only publicly traded Non-Destructive Testing (NDT) pure-plays in the US. NDT, the testing and quality assurance process used for materials, components, and systems across the industrial complex, is facing a confluence of demand tailwinds on a historical inflection in the industrial buildout. The third-party NDT service traditionally has been commoditized; thus, the space ($15bn globally) is highly fragmented with the top 10 players holding <33% market share, although larger players including MG are making efforts to consolidate their offerings and differentiate themselves with integrated data/software to capture new contracts. MG itself has historically specialized in servicing the highly cyclical Oil & Gas business (~54%), but has recently been pushing to diversify towards its more ratable, higher margin businesses including Aerospace and Defense (~13%), Industrials (~11%), Power Generation & Transmission (~6%), and Infrastructure (~5%). MG sales are concentrated in the US (~81%), with the rest of operations largely in Europe.

Executive Summary

I am long MG with a $22 price target (~8.0x my blended 2026-27E EBITDA) implying ~42% upside vs. current $15.71/sh. My thesis is predicated on NDT (Non-Destructive Testing) demand acceleration in higher-margin segments (including near-term visibility from A&D customers) coupled with a sustained shrinking technician supply offering levers to improve both volume and sales mix (shifting from core O&G service to other end markets). An additional growth driver in its proprietary PCMS software (integrated with its industrial IoT tech) differentiates MG's NDT offering and provides a long runway of cross-selling opportunity (estimated SOTP value of ~$7.5/shr, or 50% of the stock). While MG has certainly run up from its May 2025 trough, I see further upside to estimates: my model implies ~$773mm sales / ~$102mm EBITDA in 2026E (~4%/~11% above consensus/midpoint of the guide) driven by mix shift, volume, and pricing benefits on the tightening supply-demand setup in the NDT market.

Thesis Point 1

Tangible near-term A&D demand leading a historical inflection in the industrial buildout. MG recently called out surplus A&D customer demand that the market currently cannot serve. New orders from commercial aircraft customers with a decade-long backlog (Boeing/Airbus) and private space contractors (SpaceX/Blue Origin) are spurring a 2-year (2026-27) accelerated capex cycle at MG from 3% to 4.5% of revenue, which based on A&D segment growth-to-date (*see Figure 1 below*) translates to >230 bps incremental firm-wide sales growth on A&D volume alone (2026-27). Importantly, these are long-term and higher-value contracts with established A&D partners, reducing win-dependence and giving confidence to MG's sales visibility.

Figure 1: A&D capacity acceleration thus far has shown ~170 bps improvement in company-wide sales per 100 bps increase in capacity spent as % of company revenues.

Sales gain on A&D capex (per % rev)	
A&D inc. sales growth post-capex accl. (T9M)	20.2%
x Volume contribution to A&D growth (4Q25 Call)	75%
x A&D share of co-wide revs (F2025)	12.9%
/ Bps change in capex % rev (T9M)	127
Company sales gain per 100 bps capex	**1.54%**

We are also seeing the physical results of this incremental investment (started in 3Q25) after MG recently announced the expansion of its Houston lab in Brittmoore, TX, which is expected to reach the "gold-standard" NADCAP accreditation required by top OEMs by late 2026. This will bring MG's total US NADCAP-accredited NDT facilities to 9, or ~16% of all third-party labs, still modestly below leader Element Materials (12 labs) but almost double the next largest players (5 or less), based on the Qualified Manufacturer's List (QML) I pulled from NADCAP's database. *See Figures 2-3 below.*

Main A&D-testing competitor Element Materials' $20mm Charlotte lab expansion (May '26) and smaller competitor TEAM Inc.'s $18mm Cincinnati lab expansion (Oct '25) validates the secular demand, while the total market supply uplift from these investments will likely be marginal and more in-line with outsourcing trends vs. the combined ~700+ Nadcap-accredited US A&D facility base including both in-house (~640) and third-party labs (~57). While oversupply risk is always present with demand upcycles in commoditized businesses, I would also argue that the stringent new-facility criteria for the "Nadcap" accreditation (12-18 month process) further mitigates medium-term oversupply concerns and limits the near-term buildout to expansions of existing facilities as seen with Mistras and competitors.

Figure 2: Mistras Group is expanding its Houston lab (Brittmore, TX) as an addition to its base of country-wide Nadcap hubs.

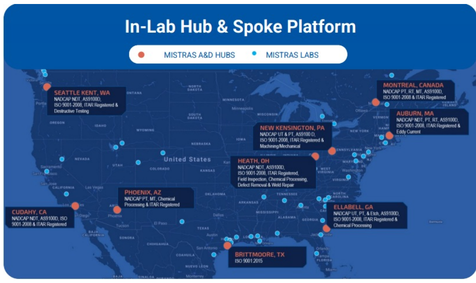

Figure 3: Competitive analysis of third-party Nadcap NDT labs in the US.

US A&D Player	Nadcap NDT Labs	% Share
Element Materials	12	21.4%
Mistras Group (MG)	8	14.3%
Acuren (TIC)	5	8.9%
Team Inc (TISI)	5	8.9%
NDE Labs	3	5.4%
Mitchell	2	3.6%
ATS	2	3.6%
Single-lab players	19	33.9%
Total third-party labs	**56**	**100%**
Total NDT labs	**698**	**12x**

Other demand tailwinds: ~$1.5tn AI capex by 2030 (Goldman Sachs), doubling power demand by 2027 (Goldman Sachs), doubling US LNG capacity by 2029, ~45 bcf/d new pipeline capacity for 2026-27 (EIA), $1tn defense spending approved by congress in 2026, 20% NATO defense spending growth 2024-25.

Recent notable wins: New commercial aerospace and private space contracts 1Q26; Bechtel LNG terminal construction for Woodside in South Louisiana 4Q25, one of biggest in the world; Batchelor & Kimball win for new data center projects 3Q25; AI data center and other high margin infra wins 2Q25

Thesis Point 2

Compounding technician shortage exacerbates supply-demand gap, creating mix-shift/pricing opportunities. While the overall NDT market grows at ~8%+ through 2030, it faces increasing supply pressure through its shrinking workforce, which has recently acknowledged by MG and peers and is now widely discussed in industry media/publications: ~30% of technicians were >55 years old in 2023 and were thus likely to retire in the next 5-10 years (average age 40+ in 2025), while new certifications are decelerating at ~15% less new Level II certifications in 2024. This technician shortage supercharges MG's push to capture new, higher margin wins outside of its core Oil & Gas biz as fragmented competitors struggle to meet new demand.

Furthermore, the shortage provides MG with negotiating leverage to increase pricing on renewal contracts (pricing campaign beginning in 2H25 translated to >5% A&D segment growth) or to simply exit lower-margin contracts ($7-8mm O&G contracts exited in 1Q26), essentially trading largely fungible NDT services for higher-value work (I would caveat that O&G NDT in-field services are moreso transferrable towards in-field infrastructure testing such as data center, power, ect vs. in-lab A&D component testing). This mix shift can drive ~175 bps margin expansion yoy (2026-27) for MG, assuming a similar ~6 bps per $1mm O&G contract "traded" as seen TTM. See Figure 4.

Figure 4: Diversification efforts have driven ~6 bps gross margin expansion per $1mm of O&G sales "traded" (MG doesn't provide segment-level margins).

Margin gain on shift from O&G (per $mm Δ)	
TTM O&G growth ($mm)	-16.7
TTM growth - all other ($mm)	45.9
Mix shift ($mm)	**62.6**
Avg TTM margin gain (bps)	387.0
Margin gain per $mm O&G traded (bps)	**6**

Within a fragmented competitive landscape, MG's unique specialty and scale in the NDT sub-service vs. largely conglomerate or smaller peers is an edge in mitigating the technician shortage through its employer-of-choice status (Top 2 firm, <1% unionized) and ability to extend worker utilization (running 3 shifts vs. 1-2 in key hubs). See figure 5.

Figure 5: As one of the largest US NDT pure-plays, MG is in a unique position to capture new, higher-value wins in a tightening market (some sales figures are roughly estimated). 2026e EV/EBITDA multiples are provided for reference on the right-hand side, with the group median below. The transaction multiple

implied by Hexagon's purchase price was used for Waygate.

NDT Competitive Analysis	NDT & related sales ($mm)	% Share of Co Revs	Primary End Markets	Company Type / Geo	EV/EBITDA 2026e
Acuren (TIC)	1,530	100%	Infra, industrials, O&G	Public / US	**8.2x**
Mistras Group (MG)	725	100%	O&G, A&D, industrials	Public / US / EU	**7.4x**
Waygate (HEXAB acquired)	630	100%	Industrials, A&D, energy	Public / Global	***17.5x***
Applus+	~500-600	~25%	O&G, power, renewables	Private / ME / LatAm	
Team Inc (TISI)	460	51%	O&G, industrials	Public / US	**6.0x**
Bureau Veritas (BVI.PA)	~450-550	~7%	O&G, power, marine	Public / EU / LatAm	**10.5x**
SGS (SGS.SA)	~300-400	~8%	O&G, power, industrials	Public / Global	**12.7x**
Intertek	~250-350	~100%	O&G, petrochem, power	Private / UK / EU	
All Others	~10000				
Global NDT Market	**15,000**				**9.3x**

Thesis Point 3

Integrated PCMS cross-sell opportunity underappreciated, offers standalone software value. MG is extracting value from legacy partnerships by cross-selling its high-ARR, ~25% growth PCMS software (~$8mm annualized wins in 1Q26) to field service customers (~2/3 of MG sales base) with current adoption at a "very small percent". The software, integrated with MG's IoT remote assets, is currently relied on by ~50% of O&G refineries in the US. Only Applus+ is also vertically integrated with its own proprietary software.

In addition to its enhancement to MG's integrated NDT offering, the limitedly disclosed vertical provides uncredited SOTP value and constitutes a multiple re-rate for MG: I see ~$7.5/shr of equity value (see Figure 6-7 below) to the high-ARR business when applying a conservative 6x multiple to 2026e revenue (based on specialized industrial software comps). My assumed ~25% growth rate also looks conservative given the ~20% run-rate growth wins already added in 1Q26, which is typically the slowest quarter seasonally. PCMS margins have yet to be disclosed.

Figure 6: I arrive at a ~$7.5/shr equity value for PCMS assuming ~45% share of Data Analytics revenue in 2024 and a 5x revenue multiple, in line with specialized industrial SaaS businesses with similar growth profiles.

PCMS Valuation	FY26E	FY27E
Sales	49.5	56.9
x P/Sales	5.0x	4.5x
Implied Equity Value	**247.3**	**256.0**
/Shout	32.7	32.7
Equity Per Share	**$7.6**	**$7.8**

Figure 7: PCMS comp table.

Ticker	Name	P/Sales	Description
DSGX	Descartes Systems	7.4x	Inustrial SaaS, high ARR
BSY	Bentley Systems	5.5x	Infra/engineering asset SaaS
PTC	PTC Inc	5.1x	Industrial IoT, asset lifecycle
HEXAB	Hexagon	5.0x	Industrial asset software

Valuation

Incorporating the sensitivities found above (*Figures 1 & 4*), I arrive at a $22 price target for MG (~42% upside) assuming ~7%/8% revenue growth for 2026/27e (vs. company ~5% 2030 CAGR target) and ~90 bps/~80 bps EBITDA margin expansion for 2026/27e, implying a ~14.4% EBITDA margin in 2027 (vs. 2030 ~15% margin target). In other words, I see MG on pace to beat its EBITDA margin target 2 years ahead of schedule due to its accelerated mix shift through increased A&D demand and improved leverage to trade off low-margin O&G contracts. I assume a ~1.0x EV/EBITDA multiple expansion given the value provided by the PCMS business offset by the ~2x rerate already seen in the stock. *See Figure 8*.

Figure 8: I arrive at a $22 PT blending 26-27E estimates and an average 7.5x EV/EBITDA multiple.

Mistras Group Inc Valuation	FY26E	FY27E
EBITDA ($mm)	104.9	129.7
x EV/EBITDA	8.0x	7.0x
Implied EV ($mm)	**839.3**	**907.8**
Less: Net Debt ($mm)	156.4	156.4
Equity Value ($mm)	**683.0**	**751.4**
/Shout	32.7	32.7
Implied Price	**$20.9**	**$23.0**

Current	FY26E	FY27E
Cons. EBITDA	92.1	101.9
EV	681	681
EV/EBITDA	**7.4x**	**6.7x**

Blended PT	Current	Upside
$22.0	**$15.7**	**39.8%**

Risk 1

Rocky ERP ramp is causing a lag in FCF conversion. FY2025 FCF was $3.8M vs. $91.1M EBITDA, largely due to adoption issues on a new ERP platform (in addition to elevated reorganization costs and higher capex). Accounts receivable normalized somewhat in 1Q26 (slightly below 1Q25 levels) but is worth monitoring. Efficiencies from the streamlined platform investment may also accrete in the near future.

Risk 2

The stock is up ~100% and rerated ~2x EV/EBITDA from 5/2025 trough. However, I see further upside to revenue and EBITDA estimates as discussed above. I also believe that the most recent ~9-10% downswing on 1Q26 earnings provides a "margin of safety." The stock was down on a misunderstood 1Q26 earnings, where a focus on the ~11% yoy decline in O&G sales missed the fact that 2/3 of the decline was due to willing business exits, a core part of the mix shift story (and 1/3 on O&G turnaround deferrals which should flip to be a tailwind to late ‘26 / early ’27 numbers). The stock has also most recently melted down ~18% on no news.

Figure 9: MG’s 2026E EV/EBITDA multiple converging back on +1 STD. The company has rerated ~2x since May 2025.

Appendix - Rough EBITDA and Revenue models

Mistras Group Inc - EBITDA Build In Millions of USD 3 Months Ending	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E
Revenue	729.6	161.6	185.4	195.5	181.5	724.0	169.0	191.5	210.2	202.0	772.8	177.7	201.7	229.0	225.1	833.5
% YoY	3.4%	-12.4%	-2.3%	7.0%	5.1%	-0.8%	4.6%	3.3%	7.5%	11.3%	6.7%	5.1%	5.3%	8.9%	11.4%	7.9%
Cons. Rev							169.0	189.8	201.5	185.8	746.0	177.7	200.3	210.7	196.0	784.7
COGS	513.9	115.3	125.7	131.8	124.3	497.1	118.8	127.3	140.8	138.0	524.9	123.6	131.6	151.7	153.1	560.1
Depreciation	23.6	5.4	5.7	5.5	5.7	22.4	5.5	5.7	5.5	5.7	22.4	5.7	5.9	5.7	5.9	23.2
Gross profit	192.2	40.9	53.9	58.2	51.5	204.5	44.7	58.5	63.9	58.3	225.5	48.4	64.2	71.5	66.1	250.2
% Margin	26.3%	25.3%	29.1%	29.8%	28.4%	28.2%	26.5%	30.6%	30.4%	28.9%	29.2%	27.2%	31.8%	31.2%	29.4%	30.0%
Bps Expand/Contract	-255	28	204	299	187	191	116	145	63	51	93	77	127	86	48	84
Cons. GM							26.5%	28.4%	30.1%	29.4%	28.6%	26.7%	29.8%	30.1%	29.0%	29.0%
SGA	135.4	35.7	39.8	33.5	33.4	142.3	37.0	41.8	35.2	35.0	149.0	38.8	43.9	36.9	36.8	156.4
R&D	1.1	0.3	0.3	0.2	0.3	1.0	0.2	0.3	0.2	0.3	1.0	0.2	0.3	0.2	0.3	1.0
Add back: depreciation	23.6	5.4	5.7	5.5	5.7	22.4	5.5	5.7	5.5	5.7	22.4	5.7	5.9	5.7	5.9	23.2
Add back: Fx	-1.8	0.4	2.8	-0.7	1.0	3.5	-0.9	0.0	0.0	0.0	-0.9	0.0	0.0	0.0	0.0	0.0
Add back: stock comp & other	5.0	1.3	1.7	0.9	0.2	4.1	2.2	1.0	1.0	1.0	5.2	1.0	1.0	1.0	1.0	4.0
EBITDA	82.5	12.0	24.1	30.2	24.8	91.1	14.3	23.2	35.1	29.7	102.2	16.0	27.0	41.2	35.9	120.1
% Margin	11.3%	7.4%	13.0%	15.4%	13.7%	12.6%	8.5%	12.1%	16.7%	14.7%	13.2%	9.0%	13.4%	18.0%	16.0%	14.4%
Bps Expand/Contract	198	-131	134	268	155	128	101	-90	124	105	65	57	126	130	124	117
Cons. EBITDA							14.3	22.5	30.9	24.5	92.1	16.1	26.3	32.5	27.1	101.9

Revenue Build	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E
Total Revenue	729.6	161.6	185.4	195.5	181.5	724.0	169.0	191.5	210.2	202.0	772.8	177.7	201.7	229.0	225.1	833.5
% YoY	3.4%	-12.4%	-2.3%	7.0%	5.1%	-0.8%	4.6%	3.3%	7.5%	11.3%	6.7%	5.1%	5.3%	8.9%	11.4%	7.9%
Global Segments	729.5	162.1	187.1	196.1	182.7	728.0	171.6	194.2	210.6	205.5	781.8	180.7	205.2	228.7	229.1	843.7
% YoY	3.7%	-11.6%	-1.9%	6.9%	6.2%	-0.2%	5.9%	3.8%	7.4%	12.5%	7.4%	5.3%	5.7%	8.6%	11.5%	7.9%
Oil & Gas	418.6	96.4	102.6	105.6	91.7	396.3	85.4	94.4	107.7	99.0	386.5	83.7	89.7	109.9	107.0	390.2
% YoY	0.7%	-14.8%	-6.0%	6.1%	-5.4%	-5.3%	-11.4%	-8.0%	2.0%	8.0%	-2.5%	-2.0%	-5.0%	2.0%	8.0%	0.9%
Aerospace & Defense	86.9	20.3	23.9	24.1	25.2	93.4	27.6	29.8	28.9	30.2	116.5	34.5	37.3	34.7	36.2	142.7
% YoY	13.3%	-8.2%	7.0%	10.2%	21.9%	7.5%	36.1%	25.0%	20.0%	20.0%	24.8%	25.0%	25.0%	20.0%	20.0%	22.5%
Industrials	69.8	18.2	19.2	22.2	18.6	78.3	18.4	20.9	26.0	18.9	84.2	18.6	22.7	30.4	19.3	90.9
% YoY	1.5%	23.3%	8.5%	16.9%	1.8%	12.2%	1.1%	8.5%	16.9%	1.8%	7.6%	1.1%	8.5%	16.9%	1.8%	8.0%
Power generation & Transmission	34.7	4.2	11.4	13.8	13.0	42.4	6.0	15.2	17.1	17.3	55.6	7.2	20.2	21.2	23.2	71.8
% YoY	14.8%	-20.2%	33.0%	24.1%	33.7%	22.3%	42.1%	33.0%	24.1%	33.7%	31.2%	20.0%	33.0%	24.1%	33.7%	29.1%
Other Process Industries	49.5	10.2	11.0	8.7	10.0	40.0	9.0	8.2	6.5	9.0	32.7	7.9	6.1	4.8	8.1	27.0
% YoY	4.3%	-13.6%	-25.7%	-25.6%	-9.9%	-19.2%	-12.1%	-25.7%	-25.6%	-9.9%	-18.2%	-12.1%	-25.7%	-25.6%	-9.9%	-17.6%
Infrastructure, Research & Enginee	29.8	6.3	7.5	8.9	10.4	33.1	12.4	12.0	11.0	14.1	49.5	14.8	14.4	13.2	16.9	59.4
% YoY	14.7%	1.4%	-5.8%	12.1%	35.2%	11.1%	97.5%	60.0%	24.0%	35.2%	49.6%	20.0%	20.0%	20.0%	20.0%	20.0%
Petrochemical	15.6	2.6	3.1	3.7	3.7	13.1	3.8	2.4	3.4	4.2	13.9	4.0	2.5	3.6	4.5	14.6
% YoY	7.9%	-39.4%	-22.5%	-7.4%	15.2%	-15.6%	45.7%	-22.5%	-7.4%	15.2%	6.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Other	24.6	3.9	8.3	9.1	10.1	31.4	9.0	11.3	9.9	12.6	42.9	9.9	12.4	10.9	13.9	47.1
% YoY	1.2%	-32.6%	35.9%	8.8%	132.2%	27.7%	131.7%	35.9%	8.8%	25.0%	36.4%	10.0%	10.0%	10.0%	10.0%	10.0%
Products & Systems	13.7	3.1	2.7	4.0	4.1	14.0	2.7	2.2	5.0	4.4	14.3	2.3	1.8	6.1	4.8	15.0
% YoY	5.2%	-3.7%	-18.8%	23.2%	7.9%	2.3%	-14.2%	-18.8%	23.2%	7.9%	2.2%	-14.2%	-18.8%	23.2%	7.9%	5.0%
Corporate	-13.5	-3.6	-4.4	-4.6	-5.3	-17.9	-5.2	-4.8	-5.3	-8.0	-23.3	-5.2	-5.3	-5.8	-8.8	-25.2
% YoY	20.1%	66.0%	3.4%	12.9%	76.5%	32.6%	45.6%	10.0%	15.0%	50.0%	30.3%	10.0%	10.0%	10.0%	10.0%	7.8%

PCMS Revenue	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E
Data Analytical (within other segmen	69.1	14.0	18.3	19.6	15.9	67.8										
PCMS	31.6	4.9	17.2	11.2	6.3	39.6	5.6	21.5	14.0	8.4	49.5	6.5	24.7	16.1	9.6	56.9
% YoY		6.0%	34.0%	25.0%	20.7%	25.1%	14.0%	25.0%	25.0%	33.0%	24.9%	15.0%	15.0%	15.0%	15.0%	15.0%
% Mix	45.8%	35%	94%	57%	40%	58%										

I do not hold a position with the issuer such as employment, directorship, or consultancy.

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Catalyst

Nadcap approval at Houston lab late 2026

New A&D/data center/other high-value wins

FCF inflection as CF catches up to incremental capex, ERP issues abate

Deferred refinery turnarounds realizing 2H26/1H27

Further PCMS disclosure

Messages

No messages